Beijing rejected the proposal. In January 1969, in another attempt to break the status quo, Prime Minister Indira Gandhi announced India was ready to deal with all bilateral issues without preconditions. Disregarding diplomatic protocol, Mao then greeted the Indian Charge d'Affaires Brajesh Mishra at a reception line in Beijing in May 1970. Just days before the outbreak of war between India and Pakistan in 1971, Mrs Gandhi and Zhou exchanged friendly messages. Mrs Gandhi felicitated China on finally taking its place at the UN, and China thanked India for its support. Finally, the two countries restored diplomatic ties to the ambassadorial level in 1976.

With full diplomatic normalization, the two countries moved to repair the relationship and to settle the border. In February 1979, Minister of External Affairs Atal Bihari Vajpayee visited China to meet Premier Hua Guofeng, Vice Premier Deng Xiaoping, and Foreign Minister Huang Hua. The visit was marred by China's attack on Vietnam, but this was the first official meeting of Chinese and Indian leaders since the early 1960s. During the visit, the Chinese offered to settle the border in a swap as they had done in 1960. In June 1980, in an interview with an Indian journalist, Deng Xiaoping repeated the offer.[88] The Chinese foreign minister for the first time since 1962 attended the Indian embassy Republic Day reception. Mrs Gandhi met her Chinese counterpart at the funeral of the Yugoslavian leader Josip Broz Tito in May 1980. In November 1980, China's Deputy Foreign Minister Han Nialong suggested that the border dispute with India could be solved through negotiations. He also sought to allay Indian fears over Chinese arms sales to Pakistan. Vice Premier and Foreign Minister Huang Hua returned Vajpayee's visit in June 1981.

In 1982–83, China once again offered India a swap – first in a meeting between Deng and Mrs Gandhi's trusted adviser and former ambassador to China G. Parthasarathi in 1982, and then again in 1983. At the 1982 meeting, the two sides reportedly agreed to the swap. Parthasarathi's son, Ashok Parthasarathi, in his biography of his father, suggests that the two sides exchanged letters confirming the deal, leaving details to be worked out. He also claims that there were five rounds of negotiations on the deal and that the talks were eventually sabotaged by a senior Indian diplomat